

EXPERT TAKE

FOLLOW THE MONEY

China's Customs-BOP Gap Is Not a Customs Problem

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This is a joint blog with Brian Peters, a former risk manager and supervision officer at the Federal Reserve Bank of New York.

There are two significant reasons why China's reported current account surplus (\$735 billion) is much smaller than its goods surplus (\$1.2 trillion), even after accounting for the ~\$200 billion services deficit.

The first is that China inexplicably reports a \$125 billion investment income deficit de



aving \$4

trillion in net foreign assets, even as Chinese interest rates are well below global interest rates. No one has been able to provide a credible explanation for this, including the IMF (see Box 1 of the 2025 External Sector Report— though no one in the official sector is yet willing to adjust China’s reported data to get rid of this gap.

The second is that China now reported a substantially smaller surplus in the goods account of the balance of payments than the goods surplus that is reported by China customs (GACC). This gap only really emerged after China introduced a new methodology for calculating the goods balance in the balance of payments in 2022 (now phased into the 2021 data). In theory, this new series should be an improvement—but China never really has been able to explain what it is doing and why the new methodology lowered the reported overall surplus rather than just shifting around the components of the balance of payments (the most complete explanation of China’s methodology is provided in Appendix VII of the IMF’s 2024 Staff Report).*

It is possible to replicate the methodology that China previously used to calculate the goods balance in its balance of payments, as it was a straightforward adjustment to the customs data. The gap between the surplus in the old data and in the new data was around \$150 billion in 2021, \$240 billion in 2022, and peaked at roughly \$260 billion in 2023, before

frequency dataset suggests a substantial fall to around \$150 billion in 2025.



This gap is not a rounding error; it is larger than most countries' current account balances. And it mechanically reduced the estimated undervaluation in the IMF's methodology by about 7 percent in 2025.

Three explanations have been put forward for the gap.

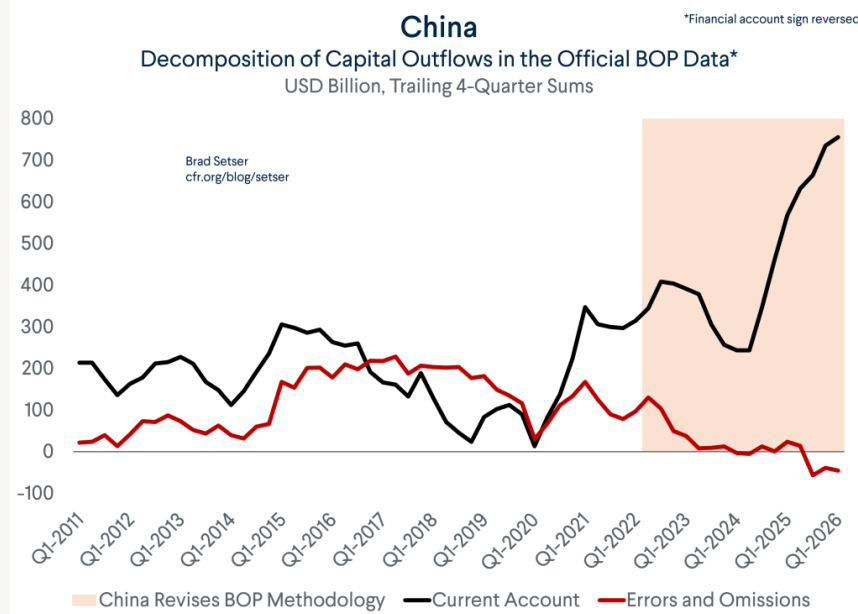
Chang Ma and Shang-Jin Wei have argued in a serious paper that customs likely overstates exports through VAT-refund fraud and understates imports through tariff evasion, and that once you adjust for those distortions, the new SAFE numbers are reasonable—while the SAFE downward adjustment doesn't stem from direct estimates of these forms of tax and tariff fraud. SAFE's adjustm

directionally right, as the customs surplus is overstated.

China's official line is narrower: SAFE points to bonded-warehouse and “factoryless”-production accounting, where goods that do not physically cross China's borders are nonetheless attributed to Chinese trade flows. It specifically argued two things—the foreign firms that use contract manufactures to produce goods in China for the Chinese market should enter into the balance of payments goods data even if the goods never cross a customs border (technically true), and that the customs price reported by contract manufactures on their exports to global firms overstated the amount they actually received for their output (an empirical question, and one where the available data doesn't support SAFE's claim that smart phone prices are overstated in the customs data).

An earlier post on this blog offered a third reading, which is that the timing and quarterly volatility of the customs-BOP gap are not consistent with either of those statistical-reclassification stories, and the residual is more plausibly being constructed inside the SAFE adjustment itself so as to reduce reported errors in the balance of payments data.



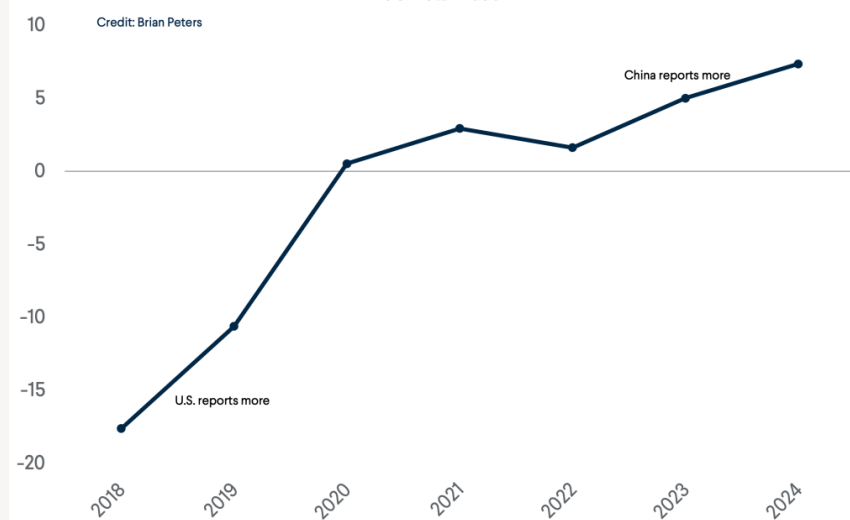


What we haven't had until recently is independent partner data to put the question on a different footing.

UN Comtrade provides exactly that. At least in principle, every dollar that leaves China's customs as an export to the United States is also recorded as a dollar of U.S. imports from China. The two numbers should agree, up to the standard valuation gap; China reports on an FOB basis, the U.S. records on a CIF basis with a small markup for transshipment and insurance. When the two diverge persistently, you have direct evidence that one side is misreporting, and you can usually tell which side, because partner-side reporting is not subject to the same domestic accounting incentives.



China and the U.S.: Bilateral Mirror Gap
China-Reported Exports Minus U.S.-Reported Imports
% of Total Trade



The cumulative bilateral mirror gap, summed over 2018 through 2024, comes in at +1.3 percent —a headline that conceals as much as it reveals, as we discuss below. It is not consistent with VAT-refund fraud running anywhere near the scale required to explain a \$184 billion customs-BoP discrepancy. If China were systematically inflating its export numbers at customs to facilitate fraudulent refund claims, the partner-side import data should show the inflation; it does not.

The bilateral pair, however, conceals a structural break. From 2010 through 2019 the USA-CHN mirror gap averaged roughly +14 percent, with the U.S. consistently recording more imports from China than China reported as exports to the US. From 2020 forward the gap inverts to roughly -3.5 percent, with China reporting more exports to the US than the US records as imports from China.



The break is sharp, it lines up with 2020, and several plausible candidates could be driving it: Section 301 tariffs and the resulting valuation wedge between transactional and customs prices, COVID-era logistics distortions, FDI relocation that puts more of the final value-added outside Chinese customs, and ordinary measurement drift. Mirror data alone cannot separate these candidates, but the level shift is real, and it is worth a separate examination.

The bilateral story matters less, however, than what the mirror gap has done in aggregate across China's major trading partners over the same window in which the customs-BOP gap was opening up. A balanced panel of nine major partners with consistent Comtrade reporting in every year (U.S., Japan, Korea, the UK, the Netherlands, Italy, India, Mexico, and Malaysia), covering roughly \$640 billion of Chinese goods exports in 2024 shows the sum of mirror

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customs-BOP gap were being driven by misreporting at China's customs interface—VAT fraud, tariff evasion, or anything else that systematically distorts bilateral flows—it should show up as a widening mirror gap, or at least a non-closing one.

That has a simple implication. Whatever is driving the divergence between the customs goods surplus and the SAFE goods surplus is invisible to partner customs. It is not “China's customs is over-reporting exports relative to what partners receive.” It is not “China's customs is under-reporting imports relative to what partners ship.” It is something internal to the SAFE construction of the goods balance.

This narrows the potential explanations considerably. The possibilities that survive the mirror test are: bonded-warehouse and factoryless-production accounting (China's official explanation), value-of-services-embedded-in-goods reclassification at the BOP boundary, transfer-pricing adjustments at the BOP level that customs does not make, and discretionary smoothing of the residual. The corroborating evidence has always been the fit between the reported current account residual and the foreign asset accumulation of China's state banks; that fit otherwise has no plausible mechanical explanation, and the mirror exercise foreclosing the customs side channels makes that bank flow correspondence harder, not easier, to dismiss as coincidence.



The first two are statistical artifacts; you would expect them to be relatively stable from quarter to quarter and concentrated in identifiable sectors. The third should leave fingerprints in the services or primary income account. The fourth, which earlier posts on this blog have flagged, is that SAFE is constructing the goods balance to keep the BOP residual error close to zero.

The mirror data does not directly demonstrate that fourth reading, but it is consistent with it in a way the other three are not, particularly given the quarterly volatility of the customs-BOP gap.



There is a temptation to read China's customs-BOP gap as a generic EM story about capital controls and managed FX, the kind of thing one might expect from any country with a similar policy mix. However, cross-country panel evidence on the customs-BOP gap shows that the larger systematic deviations come from multinational-residence reclassification (Ireland, Singapore, Luxembourg, sometimes the Netherlands), not from capital controls manipulation. China's case is distinctive; it is not a generic feature of managed FX with capital controls.

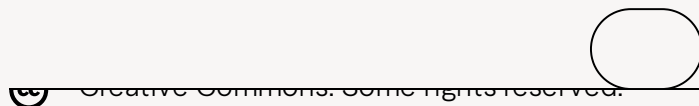
What does any of this mean for the underlying Chinese current account surplus? On its face, not much directly. Mirror data does not tell you where the gap is; it tells you what you can rule out. It forecloses the customs-misreporting channel as a quantitatively significant driver, which leaves the SAFE-side adjustment as the most important piece of the puzzle.

recent quarters (with the last big gap that still impacts the trailing 4 quarter sum back in q2 2025).

The case that the underlying current account surplus is meaningfully larger than the reported \$735 billion has been made on this blog before; the mirror exercise is a clean check that the customs side of the ledger is what it appears to be, and that the discrepancy lives elsewhere.

*The new methodology clearly shifts Apple's "in China" profit over to the goods portion of the balance of payments, which should have generated offsetting adjustments to either the services or the income balance.

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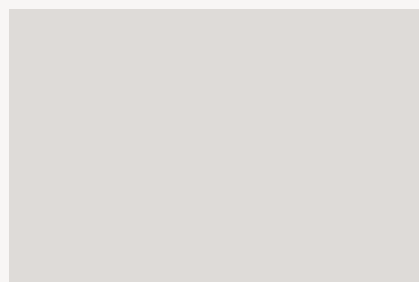
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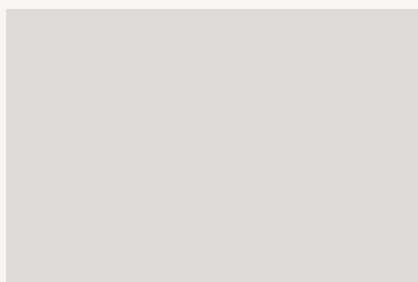
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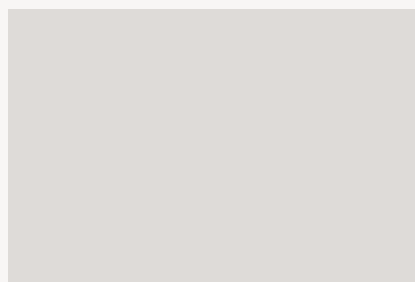
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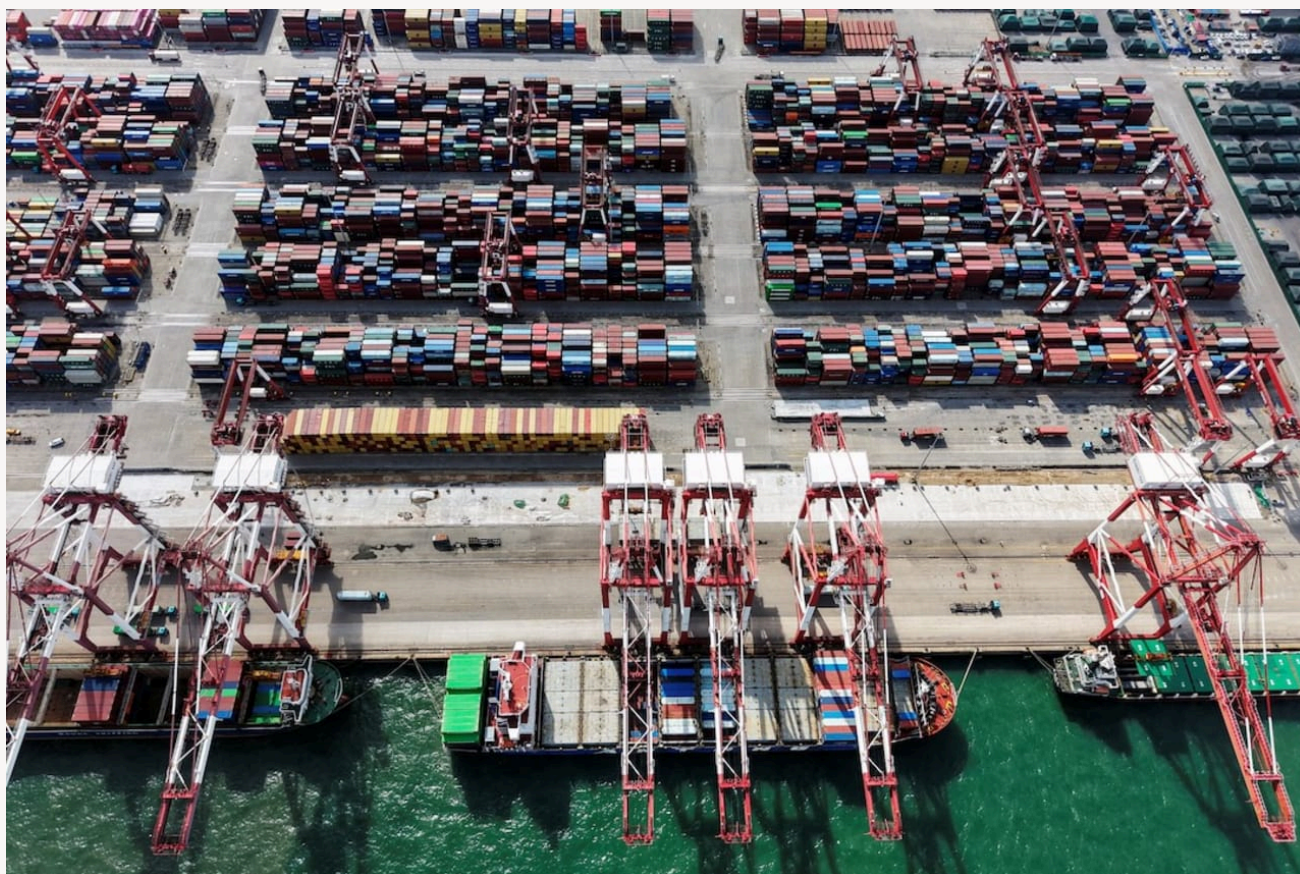


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China, Not Europe, is the Source of the World's Imbalances

How Ireland and China's statistical agency pulled the wool over the eyes of the IMF and OECD.



A drone view shows ships and containers at the port in Qingdao, Shandong province, China October 20, 2025. China Daily/Reuters





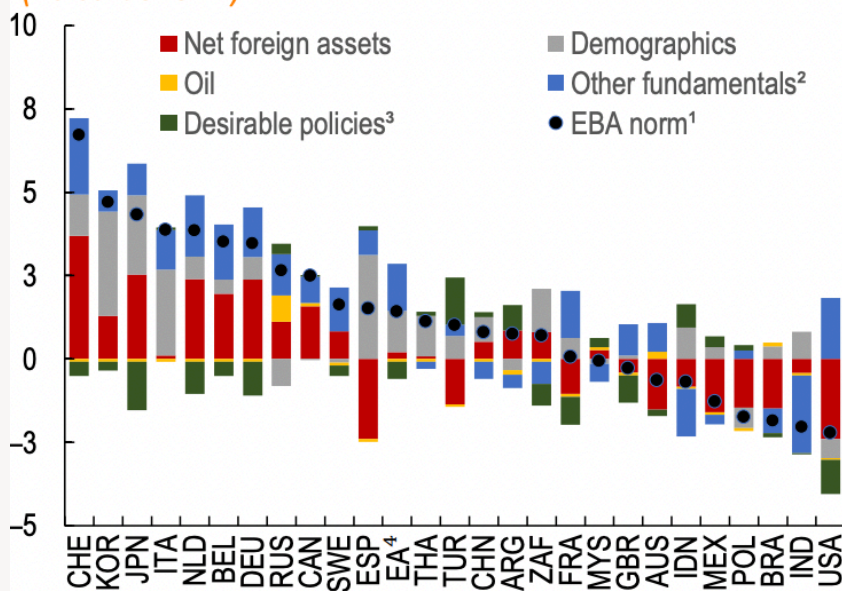
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There is a particular chart that appears in most OECD and IMF publications on imbalances that paints a deceptive picture of the state of today's world. It shows that Europe's current account surplus was bigger, as a share of its GDP, than China's surplus —back in 2024.

Figure 1.18. External Balance Assessment Current Account Norms, 2024
(Percent of GDP)



Source: IMF, External Balance Assessment estimates.

There are three major problems with this chart:

1. It uses very stale data. China's reported current

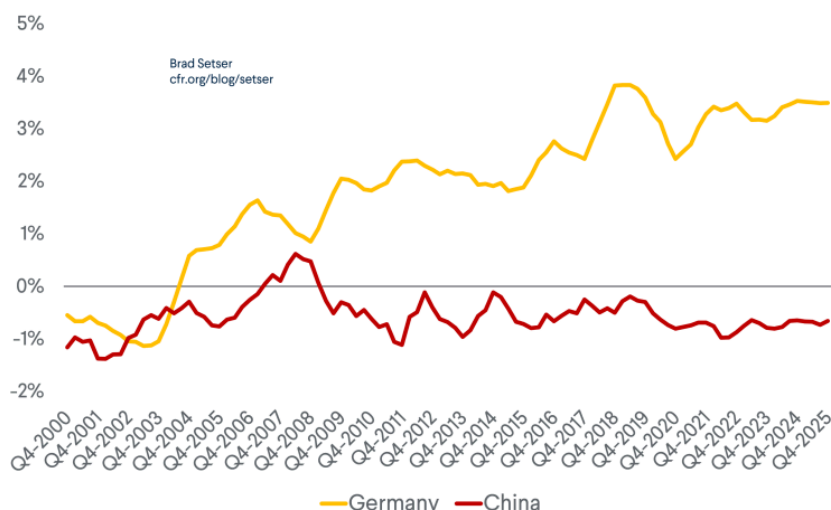
account surplus rose from \$400 billion in 2014 to \$750 billion in 2024.

since the end of 2024. Net exports added over a point and a half to China's growth since then, and the euro area's surplus is down from €420 billion to €280 billion. And in one prominent sector, autos, China's surplus is way up. Its exports have increased by 3 million since then while its auto imports are down by a quarter of a million.

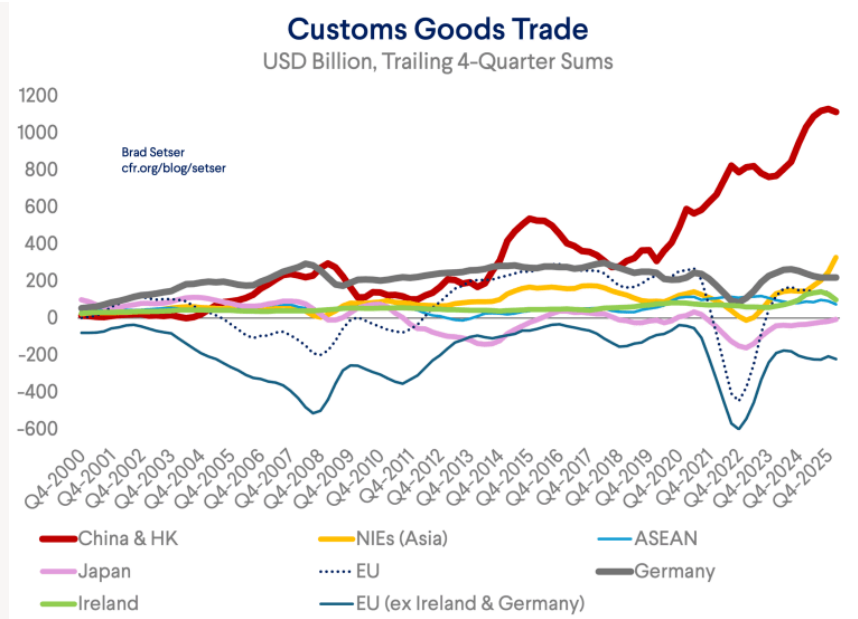
2. It doesn't adjust the euro area's surplus for Ireland—which matters. See the problems that the end of pharmaceutical front running created for the overall euro area GDP data in the first quarter. And it especially matters if there is an attempt to solve for China's clearly misreported investment income data by just using balance of payments goods and services data, as Ireland runs an absolutely massive but enormously inflated goods and services surplus thanks to profit shifting by mostly American multinationals.
3. It takes the Chinese current account surplus and its bizarre reported deficit in investment income (China is the world's second largest investor, after Germany, yet it loses \$125 billion on net on interest and dividends while Germany gets over \$150 billion) at face value.



China and Germany Investment Income % of GDP



The overarching issue, of course, is that China changed its balance of payments data in a way that both eliminated errors and omissions from the financial account and reduced its reported balance of payments goods surplus back in 2022 (it now enters the data for 2021 as well). Moreover, the statistical adjustment—a fundamental shift in how the goods balance is calculated in the balance of payments—clearly reduced the reported current account surplus significantly at a time when the underlying customs surplus was exploding up.



The need for international organizations assessing the world's trade and savings and investment imbalances to use more than the reported current account balance in their assessment of China should now be obvious. No one believes the reported investment income deficit at this point. And frankly it by now should be best practice for the major international organizations to use trailing four-quarter sums (which are still lagged by quarter) rather than annual data.

The need to adjust the euro area and EU data for Ireland should be equally obvious.

In theory, being the tax home for Apple (raises BOP goods exports but not customs exports), Microsoft (raises services exports), Eli Lilly (raises customs and BOP goods exports), Google (raises service exports and imports, as Google's global IP is a U.S. tax resident and Google's Irish subsidiary has to pay to use "California's" IP) and others should impact the

balance of payments. The tax gymnastics of U.S. firms should result in a higher goods and services surplus, but there should be an offsetting outflow of profits (FDI income payments) from the Irish subsidiaries of U.S. firms back to their U.S. parents and thus a large deficit in investment income that keeps the current account unchanged.

In practice, however, the end of the double Irish and the “Irish-shoring” of the world’s intellectual property has led to a big swing in Ireland’s current account surplus, with the current account moving from a large deficit in the days when the Irish subsidiaries of U.S. firms “invested” to bring the Caribbean (or Channel Island) IP of U.S. firms onto Ireland’s green shores to a big surplus now.

Ireland reported a current account deficit of 75 billion euro in 2019, and now reports a surplus of 50 billion euro; that is a massive shift which has no real bearing on any of the variables that the IMF or OECD are trying to measure in their reports on imbalances (of course, it does say a lot about the evolution of the tax strategies of U.S. multinationals).

And it matters for the IMF’s assessment of the world’s “excess” imbalances: netting Ireland out brings the euro area’s 2025 current account surplus down to around €230 billion (~\$250 billion), or well under 2 percent of euro area GDP.



Ireland has an even more outsized impact on the euro area's goods and services balance, as Ireland's euro 250 billion BOP goods surplus is a shocking 40 percent of Irish GDP (thanks to BPM 6 accounting for Apple and big pharma).

And netting Ireland out changes Europe's income balance from a deficit (reflecting the huge profits of U.S. multinationals in Ireland, now ~€300 billion) to a more reasonable surplus.

All this matters, of course, when it comes to trying to find a politically feasible way of presenting China's actual surplus into cross-country/cross-region comparisons.

As mentioned earlier, China poses two distinct issues.

First, China reports a large (\$125 billion) income deficit despite being the world's second largest

creditor (bigger than Japan) with a positive \$1 trillion

net credit position in the “stock” tables showing countries net international investment positions.

No one has been able to explain that deficit adequately.

The IMF could not (see the 2025 External Sector Report, Box 1.1). Shang-Jin Wei and Chang Ma could not.

I also cannot. My various models of what China’s income balance sheet should be—based realistic assumptions around investment returns—point to a surplus of around \$100 billion. One easy way to see why: SAFE’s reserves are pretty close to the positive NIIP position and SAFE reported a 3 percent return on its reserves in the 2010s, the low-for-long decade. That profit should be higher now.

Set aside the debate over the merits of the new methodology that China trotted out for calculating its goods surplus in the balance of payments back in 2022 (see the IMF 2024 staff report for details) — which now enters into the 2021 statistics. There is no doubt that the adjustment:

1. Lowered the reported goods surplus in the balance of payments relative to customs.
2. Changes over time in ways that are difficult to explain. The gap between BOP goods using the pre-2021 methodology and the new data was around \$300 billion annualized  ch of 2023

and 2024; it has now shrunk to around \$150 billion for reasons that SAFE hasn't credibly explained.

3. Has had the effect of lowering reported current account surplus, not just shifting Apple's "onshore" profit into the goods account and out of either services or income.

This is obvious in any careful examination of the data, particularly the quarterly data.

One way of addressing these data problems is just using the customs trade balance—a retro indicator, but one that can be easily verified.

That goes too far for some people (services!) but the easy solution—using BOP goods and services—solves the problem of China's fudged investment income account but augments the Irish distortion to Europe.

The best solution would be to calculate China's surplus using the pre-2021 methodology (at least until China can provide a plausible explanation for what is happening elsewhere in the BOP when Apple's in China surplus enters the BOP goods numbers, and can explain the bizarre downward adjustment in BOP exports—the Apple in China adjustment raises BOP exports...) and to net out Ireland from the euro area data.

Bottom line: when netting Ireland out, China's goods and services balance is two times higher than the euro

area's surplus—and it has risen a lot over the last five years.

And these adjustments also change the comparison between China's surplus and Germany's surplus, as Germany's goods and services surplus is now lower than China's goods and services surplus, consistently reported.



All this is too important to global surveillance not to be factored into the IMF and the OECD's work in some way.

It simply isn't credible to keep showing charts that show Europe is as "bad" as China—not when European trade has lagged China's trade so badly for the last few years.**

Yes, the current account is the standard metric, but it is important to understand what goes into that metric, and what may be missing. The gap between the reported current account and high frequency measures like customs goods should have been a warning that something was off.

* Of course, I personally think China's approach generates a nonsensical adjustment; all the more so as the downward adjustment in the customs surplus in the BOP data seems to vary over time so as to keep reported errors (the statistical error) close to zero. The Chinese, with support (sadly) from the IMF's statistics division, say that their survey-based methodology is actually the IMF's recommended methodology. That's true, but it shouldn't stop the IMF from evaluating the quality of the adjustment.

** This chart from the July 2025 External Sector Report, which shows contribution to excess imbalances, illustrates the same misleading framing.



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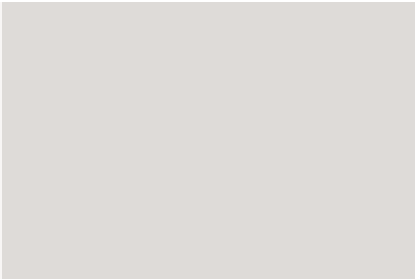
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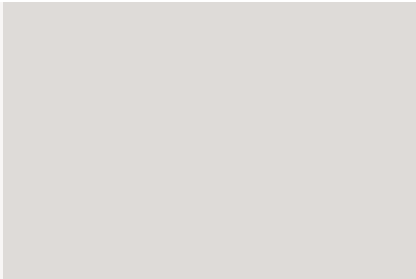




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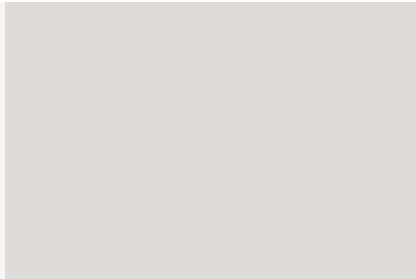
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